

**Time:** 5 minutes**Outcome:** Evaluate Product Variety, Efficiency & Model Limits.**Difficulty:** ●●○ Intermediate

Product Variety, Efficiency & Model Limits



THE CORE IDEA

Monopolistic competition trades some cost and allocative efficiency for product variety and differentiated consumer choices. Variety may create utility even while markup and excess capacity remain. Variety can create utility even with efficiency costs. Differentiation can create consumer value through variety even when the standard model shows some productive inefficiency.



HOW TO RECOGNIZE IT

- Variety may create utility even while markup and excess capacity remain.
- Variety can create utility even with efficiency costs.
- Differentiation can create consumer value through variety even when the standard model shows some productive inefficiency.
- Two markets have the same total production cost.

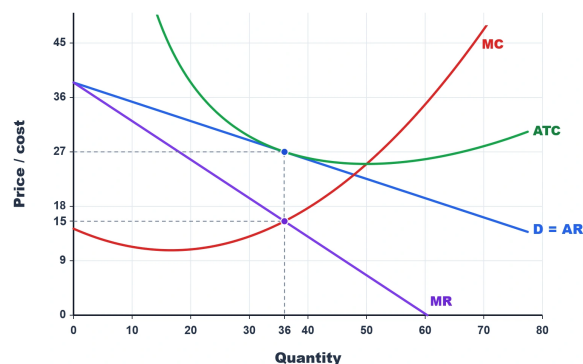


WATCH OUT

A common mistake is to misapply monopolistic competition rule. Differentiation can create consumer value through variety even when the standard model shows some productive inefficiency.



WORKED EXAMPLE: VARIETY VERSUS EFFICIENCY



The long-run firm produces 36 units at a price and ATC of \$27, so economic profit is zero. Marginal cost is only \$15, meaning price exceeds MC, and output lies left of minimum ATC. Product variety may benefit consumers, but the model also predicts markup and excess capacity.



CHECK YOURSELF

Lotus Fitness: A new specialized program better matches a subset of customers. Which classification is most accurate?

**READY?**

Return to the game and master this concept.